

Customer Relationship Management

Module 4 – CRM and Marketing Strategy

For CS Students | Simple & To-the-Point

1. CRM and Marketing Strategy

Definition: CRM and marketing strategy refers to using customer data and relationship insights to design, target, and deliver marketing activities more effectively.

Traditional marketing pushed one message to everyone. CRM-driven marketing uses data to send the *right message, to the right customer, at the right time, through the right channel*.

How CRM supports Marketing Strategy:

Marketing Need	CRM Solution
Know the customer	Customer profiles, purchase history, behaviour data
Segment the market	CRM filters customers by demographics, value, behaviour
Personalise campaigns	CRM triggers targeted emails, offers, and messages
Measure effectiveness	CRM tracks open rates, conversions, ROI per campaign
Retain customers	CRM flags at-risk customers for proactive outreach

The shift CRM brings to marketing:

Traditional Marketing	CRM-Driven Marketing
Mass, undifferentiated	Targeted, personalised
Focus on product	Focus on customer relationship
One-way (broadcast)	Two-way (dialogue)
Short-term sales goals	Long-term lifetime value goals
Campaign-based	Always-on, event-triggered

Example: Nykaa sends a mass Diwali sale email to all users (traditional). With CRM, it separately sends skincare offers to skincare buyers, haircare offers to haircare buyers, and a premium gift set offer to top 5% spenders – each personalised using purchase history stored in the CRM.

2. CRM Marketing Initiatives

CRM enables several specific marketing initiatives that would not be possible without customer data:

a. Customer Segmentation

Dividing the customer base into groups with similar characteristics for targeted marketing.

- **Demographic:** Age, gender, income, location.
- **Behavioural:** Purchase frequency, cart abandonment, loyalty tier.
- **Value-based:** High CLV, medium CLV, low CLV segments.
- **Needs-based:** Customers grouped by the problem they are trying to solve.

b. Personalised Communication

Using CRM data to tailor messages to individual customers.

- Personalised email subject lines (“Hi Rahul, your favourite brand is on sale”).
- Product recommendations based on past purchases.
- Dynamic website content that changes per user.

c. Loyalty Programmes

CRM tracks points, tiers, and rewards to incentivise repeat purchase.

- Points-based (Starbucks Stars, airline miles).
- Tier-based (Silver, Gold, Platinum membership).
- CRM triggers reward notifications and redemption reminders automatically.

d. Cross-selling and Up-selling

- **Cross-sell:** Recommend related products (bought a phone? suggest a case).
- **Up-sell:** Recommend a premium version (standard plan → premium plan).
- CRM identifies the right moment and the right product to suggest.

e. Event-Triggered Marketing

CRM automatically triggers marketing actions based on customer behaviour or life events.

- Birthday email with discount.
- Cart abandonment reminder after 2 hours.
- Re-engagement email after 30 days of inactivity.
- Renewal reminder 7 days before subscription expires.

Example: Amazon’s CRM marketing initiatives in one purchase cycle: (1) Personalised home page (segmentation), (2) “Frequently bought together” (cross-sell), (3) “Upgrade to Prime” banner (up-sell), (4) Abandoned cart email (event-triggered), (5) Review request email post-delivery (engagement). All driven by CRM data.

3. Sales Force Automation (SFA)

Definition: Sales Force Automation is the use of software to automate repetitive sales tasks, manage the sales pipeline, and give sales managers visibility into team performance – all within the CRM system.

Key SFA Functions:

Function	What it does
Lead Management	Captures, scores, and assigns leads to sales reps
Opportunity Tracking	Tracks each deal through pipeline stages (Prospect → Proposal → Closed)
Contact Management	Central database of all customer/prospect contacts
Activity Logging	Auto-logs calls, emails, and meetings against customer record
Forecasting	Predicts monthly/quarterly sales based on pipeline data
Quotation Management	Generates and tracks price quotes sent to prospects
Territory Management	Assigns geographic or account-based territories to reps
Performance Reports	Dashboards showing each rep’s targets vs actuals

Benefits of SFA:

- Sales reps spend less time on admin and more time selling.
- Managers get real-time visibility into pipeline without chasing reps for updates.
- No deal falls through the cracks – automated follow-up reminders.
- Accurate forecasting improves inventory and revenue planning.

Example (CS analogy): SFA is like a *task scheduler* for the sales team. Just as a cron job triggers automated actions at defined intervals, SFA triggers: “No contact in 3 days? Send follow-up email.” “Deal in Proposal stage for 10 days? Alert sales manager.” The CRM is the engine; SFA is the automation layer on top.

4. Campaign Management

Definition: Campaign management is the process of planning, executing, tracking, and analysing marketing campaigns using CRM data to ensure the right message reaches the right audience.

Stages of Campaign Management:

Stage 1: Planning – Define objective (increase sales of Product X by 10%), target segment, budget, channels, and timeline.

Stage 2: Audience Selection – Use CRM to filter the exact customer segment (e.g., customers who bought Product X’s predecessor, aged 25–40, in Tier 1 cities).

Stage 3: Content Creation – Design personalised messages for each segment. CRM allows different content for different sub-groups from the same campaign.

Stage 4: Execution – Launch across channels: email, SMS, push notifications, social ads. CRM automates send times (e.g., send email at 10am local time per recipient).

Stage 5: Tracking – CRM tracks open rates, click-through rates, conversions, and revenue generated per campaign in real time.

Stage 6: Analysis & Optimisation – Compare campaign ROI across segments and channels. Use findings to improve the next campaign (A/B testing results stored in CRM).

Key Campaign Metrics tracked in CRM:

Metric	Meaning
Open Rate	% of emails opened out of total sent
CTR	Click-Through Rate – % who clicked a link in the message
Conversion Rate	% who completed the desired action (purchase, signup)
Campaign ROI	$(\text{Revenue from campaign} - \text{Cost}) / \text{Cost} \times 100\%$
Unsubscribe Rate	% who opted out – signals poor targeting or messaging

Example: Myntra plans a campaign for “End of Reason Sale”: (1) CRM selects customers who browsed but didn’t buy in last 30 days. (2) Personalised email: “Items you liked are now 50% off.” (3) Sent at 8pm (peak browsing time). (4) CRM tracks that 35% opened, 12% clicked, 4% purchased. (5) ROI calculated, and the winning subject line is used for the next campaign.

5. Call Centres

Definition: A call centre is a centralised unit where customer interactions (calls, emails, chats) are handled by agents. In modern CRM, call centres are integrated with the CRM system to give agents instant access to customer history.

Types of Call Centres:

Type	Description
Inbound	Customers call in for support, complaints, or queries
Outbound	Agents call customers for sales, surveys, or retention
Blended	Agents handle both inbound and outbound calls
Virtual	Agents work remotely, connected via cloud CRM

How CRM integrates with Call Centres:

- **Screen Pop:** When a customer calls, their full CRM profile appears on the agent's screen automatically (name, past purchases, last complaint, loyalty tier).
- **Call Logging:** Every call is recorded and logged against the customer's CRM record.
- **Issue Tracking:** Complaints are raised as tickets in CRM with SLA timers.
- **Script Guidance:** CRM suggests talking points or upsell offers based on customer profile.
- **Escalation:** CRM automatically escalates unresolved tickets to senior agents or managers.

Key Call Centre Metrics (tracked in CRM):

- **AHT** – Average Handle Time per call.
- **FCR** – First Call Resolution rate (resolved without callback).
- **Abandonment Rate** – % of callers who hang up before reaching an agent.
- **CSAT** – Customer satisfaction score collected post-call.

Example: You call HDFC Bank's helpline. Before you finish speaking your account number, the agent's CRM screen already shows your name, last transaction, and that you have a pending complaint from 3 days ago. The agent resolves both issues in one call – this is CRM-integrated call centre (FCR achieved, CSAT improves).

6. Practice of CRM – Sector by Sector

CRM is applied differently across industries based on the nature of customers, products, and relationships.

6a. CRM in Consumer Markets

Context: Consumer markets involve large numbers of individual customers buying frequently (FMCG, retail, e-commerce). Relationships are often transactional but CRM tries to make them personal.

CRM Applications:

- Loyalty cards and reward programmes (Big Bazaar Future Pay, Reliance One).
- Personalised product recommendations based on purchase history.
- Mobile apps as CRM touchpoints (notifications, in-app offers).

- Customer segmentation for targeted promotions (festive offers to high-spenders).
- Post-purchase follow-up emails and review requests.

Key challenge: Volume – managing millions of customers requires highly automated CRM with strong analytics.

Example: D-Mart's loyalty programme tracks which families buy cooking oil in bulk. Before festive season, it sends a bulk-buy offer only to those customers. This targeted approach (vs blanket discount to all) is CRM in a consumer market.

6b. CRM in Services Sector

Context: Services (banking, insurance, telecom, healthcare, hospitality) are intangible. Customer relationships are longer-term and trust-based. A bad experience is hard to undo.

CRM Applications:

- **Banking:** 360-degree customer view – every product held, every complaint lodged, CLV score. Relationship managers use CRM to advise on investments.
- **Telecom:** Churn prediction models flag at-risk subscribers; proactive retention calls triggered by CRM.
- **Healthcare:** CRM tracks patient history, appointment schedules, follow-up reminders, medication adherence alerts.
- **Hospitality:** Hotels store guest preferences (room type, pillow firmness, dietary needs) in CRM to personalise each stay.

Key challenge: Trust and data sensitivity – customers share private data; CRM must ensure security and appropriate use.

Example: Taj Hotels' CRM stores that a guest prefers a high-floor non-smoking room, is allergic to shellfish, and celebrates their anniversary in December. Every Taj property worldwide can access this – the guest gets a personalised experience at any location without repeating preferences.

6c. CRM in Mass Markets

Context: Mass markets serve extremely large, diverse customer bases with standardised products (telecom, utilities, consumer goods). Individual relationship management is not feasible – CRM operates at segment level.

CRM Applications:

- **Segment-level personalisation:** Not individual, but group-level offers (students, senior citizens, rural users).
- **Self-service portals:** Reduce support cost by letting customers solve their own issues (apps, IVR, chatbots).
- **Mass communication with personalisation tokens:** Bulk SMS/email but with customer name, usage, and relevant offer inserted.

- **Churn analytics at scale:** Predictive models run on millions of records to identify at-risk segments.

Key challenge: Balancing scale with personalisation – full individual CRM is too expensive; segment-based CRM is the practical approach.

Example: Jio serves 400+ million users. Individual CRM is impossible. Instead, Jio's CRM identifies segments: heavy data users, voice-only users, students (via college location data), and sends different recharge packs to each. A student in Pune gets a semester-long data pack offer; a rural user gets a voice-heavy plan.

6d. CRM in Manufacturing Sector

Context: Manufacturing CRM focuses on **B2B relationships** – managing dealers, distributors, and industrial buyers rather than individual consumers. Relationships are fewer but far more valuable.

CRM Applications:

- **Dealer/Distributor Management:** Track orders, performance, and inventory levels of each channel partner.
- **Key Account Management:** Assign dedicated account managers to top industrial clients; all interactions logged in CRM.
- **After-Sales Service:** CRM tracks warranty, maintenance schedules, and spare parts orders for industrial equipment.
- **Sales Pipeline:** Long B2B sales cycles (months/years) tracked through CRM stages – RFQ → Proposal → Negotiation → Order.
- **Complaint Management:** Product defect complaints linked to batch numbers and suppliers in CRM for root cause analysis.

Key challenge: B2B relationships involve multiple stakeholders (procurement, finance, technical teams) on the customer side – CRM must track contacts at different levels within one client organisation.

Example: Tata Steel's CRM manages relationships with auto manufacturers (like Maruti, Hyundai) who buy steel in bulk. CRM tracks each client's quarterly order volumes, price negotiations, quality complaints, and payment history. A key account manager at Tata Steel uses CRM to prepare for every client meeting with full historical context.

Quick Revision – Key Terms

Term	One-liner
CRM + Marketing	Use customer data to make marketing targeted and personal
Cross-sell	Suggest related products alongside current purchase
Up-sell	Suggest premium version of what customer is buying
Event-Triggered	Automated marketing based on customer actions/events
SFA	Automates sales tasks – lead tracking, pipeline, forecasting
Lead Scoring	Ranking leads by likelihood to convert
FCR	First Call Resolution – issue solved in one call
AHT	Average Handle Time per customer call
Screen Pop	CRM auto-displays customer profile when they call
Campaign ROI	$(\text{Revenue} - \text{Cost}) / \text{Cost} \times 100\%$
CTR	Click-Through Rate – % who clicked the campaign link
Consumer Market CRM	High volume, loyalty programmes, personalised promotions
Services CRM	Trust-based, 360-degree view, churn prevention
Mass Market CRM	Segment-level personalisation, self-service, scale
Manufacturing CRM	B2B focus – dealers, key accounts, after-sales service

End of Module 4 Notes – Good Luck with your Exam!